

Medicaid and the States

POSC 459 — Social Welfare Politics and Policy

Week 7 · Wednesday, October 7

Grogan and Andrews, "Medicaid" · Howard (2007), ch. 8 and ch. 5

Today

1. How big is Medicaid?
2. **Grogan and Andrews:** built to grow
3. **Howard ch. 5:** Waxman's wedge
4. Middle-class Medicaid
5. **Howard ch. 8:** laboratories or cryogenic chambers?
6. Pairs: two states, one statute

Guess the number

What share of U.S. births does Medicaid pay for?

What share of nursing-home residents?

What share of children?

1965: the afterthought

- Medicare: the headline. Universal, for the old
- **Medicaid:** the supplement. Means-tested, run by the states
- Wilbur Mills's bet: cover the "worthy" poor and
"stave off claims for broader health-care coverage" (p. 339)

Three seeds of expansion

Seed	What it lets a state do
Medical indigency	Cover people who aren't poor but can't pay the bill
Comprehensive benefits	Pay for nearly any service
A generous federal match	Spend a dollar, get 50 to 75 cents back

Grogan and Andrews, p. 339

Then Waxman

Rep. Henry Waxman (D-CA), health subcommittee chair, 1979–1994

1984–87	Options: states <i>may</i> cover more pregnant women and children
1988–90	Mandates: states <i>must</i>
1990	All poor children under 18, phased in through 2002

"the Waxman wedge" (Howard, p. 103)

Sold as anything but welfare

Audience	The pitch
Public health	Fewer infant deaths
Business	A healthier workforce
Abortion opponents	More babies carried to term
Insurers	Better than national health insurance

"an investment, not expense" (Howard, p. 104)

What it added up to

	Before	After
Births paid by Medicaid	17% (1985)	45% (1991)
Children covered	9 million (1980)	19 million (2000)
Spending	\$25 billion (1980)	\$200 billion (2000)

Howard, pp. 95, 98

The answers

Births in Arkansas and Oklahoma (2009)	64%
Nursing-home residents	70%
Children who get Medicaid services	60%
Americans covered	1 in 5

Grogan and Andrews, p. 343

Middle-class Medicaid

- Nursing home: about **\$72,000** a year (2005)
- Private payers at admission: two-thirds "**spend down**" onto Medicaid
- **51%** of Americans: a personal connection to Medicaid
- No connection? Only **32%** call it important

Grogan and Andrews, pp. 344–345

Front stage, backstage

Front stage: block grants, lawsuits

Backstage: take the match

ACA lawsuit, which states joined? Correlation with:

Governor's party	Projected cost to the state
.8	.15

Grogan and Andrews, pp. 346–347, 350 n. 5

Medicaid, then (2013) and now

	The chapter	Now
ACA expansion	Optional	40 states and DC in; 10 out
Enrollment	62 million (2009)	73.2 million (June 2026)
Seniors and disabled	25% of people, 65% of dollars	23% and 54%
Work requirement	None	80 hours a month , expansion adults, 2027
Eligibility checks	Yearly	Every six months , expansion adults

KFF, Oct. 2026; CMS, June 2026 snapshot; Pub. L. 119-21 (2025)

Howard's question

Laboratories of democracy, or cryogenic chambers?

Howard 2007, ch. 8

The test case: workers' compensation

- First social insurance program: **42 states by 1920**
- No federal money, no federal rules
- **\$50 billion** in benefits (2001), bigger than any means-tested program but Medicaid
- Death benefit in Virginia: **three times** North Carolina's

Howard, pp. 154–155, 159

Why nobody fixed it

When	Washington's choice
1935	Left it out of the Social Security Act
1956	Built disability insurance around it
1969–70	Black Lung; OSHA; a commission
1972 on	Commission says fix it. Congress does nothing

"it already existed" (p. 167)

The one time the states moved

Average state score on the commission's **19 essential elements**:

1972	1975	1980	1988	late 1990s
6.9	9.4	12.1	12.2	12.8

Howard, pp. 173–175

Two readings, two verdicts

	Howard, ch. 8	Grogan and Andrews
Case	Workers' comp	Medicaid
Federal role	None	Match + mandates
States	Frozen	Pushed to expand
Who locks it in	Insurers, employers, state boards	Providers, enrollees, governors

Pairs: two states, one statute

Not expanded (10): AL · FL · GA · KS · MS · SC · TN · TX · WI · WY

Map: kff.org → Status of State Medicaid Expansion Decisions

1. Pick **one state that expanded** and **one that hasn't**
2. Same federal law, same 90% match. **What explains the difference?**
3. Is the difference **innovation** or **entrenchment**?

Use one page from each reading.

8 minutes · then a show of hands

Show of hands

Laboratories or **cryogenic chambers**?

The smaller side goes first:

name a policy that supports **the other side**

Before you go

Fri 10/9	Source and claims memo , 11:59 p.m. Attach your conversation
Mon 10/12	Midterm review. Bring questions
Wed 10/14	Midterm , in class, by hand. Bring a blue book

By 2:15 you should be able to say

Medicaid grew because states could draw a federal match.

Workers' comp froze because nobody in Washington could make states move.

Federalism did both.